S. No.	Characteristics	Factoring	Forfaiting
1.	Basis of financing	Financing is dependent on exporter's credit standing	Financing is dependent on the availing bank's financial standing
2.	Cost	Cost is borne by the seller	Cost is borne by the overseas buyer
3.	Suitability	For transactions of short-term maturity period	For transactions of medium-term maturity period
4.	Extent of financing	Only a certain per cent of receivables factored is advanced	Full finance is available
5.	Risk	Risk can be transferred to seller	All risks are borne by the forfeiter





16.03 LOGISTICS

A. Meaning

Logistics can be viewed as a logical extension of transportation and related areas to achieve an efficient and effective goods distribution system.



B. Logistics Management

Logistics Management is defined as 'Design and operation of the physical, managerial, and informational systems needed to allow goods to overcome time and space (from the producer to the consumer)'. This implies that an integrated view of a number of different activities and functions may be required. These activities are represented as part of the value chain, called the generic value chain by Porter. All firms are viewed as a collection of primary and secondary activities.

C. Decisions

The logistics management involves various decisions that need examination for an integrated system, they are:

Commerce 16-25.indd 158 10/12/2022 16:33:09